VIOLA CREDIT

QUARTERLY MANAGEMENT REPORT
AS OF DECEMBER 31ST

2024

Viola Credit Alternative Lending Income Fund III

VIOLA CREDIT ALF III (B)

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DEAR VIOLA CREDIT ALF III INVESTOR,

We are excited to share the quarterly report for the Viola Credit Alternative Lending Income Fund III (ALF III B), covering the period up to December 31, 2024 (Q4). During this period, ALF III (B) distributed a net coupon yield of 2.8% for the quarter. As of December 31, 2024, 45% of the capital has been drawn and deployed across 10 transactions, with 6 additional transactions in the post-term sheet and legal/advanced diligence stages.

We are also pleased to announce the official launch of Viola Credit's New York office. This milestone was celebrated with an event attended by our partners, investors, portfolio companies, and close associates. We believe this strategic expansion will strengthen our global presence and further support our operational capabilities as we continue to grow across key Western geographies.

During the quarter, we closed one additional transaction with our long-standing relationship platform, Lendbuzz, a pre-IPO FinTech platform. Lendbuzz is an AI-based FinTech lender offering secured auto financing to thin-file borrowers—an underserved population largely ignored by the traditional U.S. credit system. As of the end of Q4-2024, ALF III (B)'s portfolio comprises 10 transactions. We expect to maintain this momentum and execute additional mature opportunities in our pipeline during H1 2025. For detailed insights into these transactions, please refer to slides 10-15 in the report.

The Fund's active pipeline currently contains over 50 potential portfolio companies in various stages, with an active pipeline of $1.1 billion across various geographies and asset classes. During the last quarter, our investment team reviewed 85 new opportunities with a total volume of $4.5 billion, representing a nearly 30% increase in deal flow activity compared to the previous quarter. This robust deal flow ensures a highly selective investment approval process. Since the fund's inception, the global investment team has evaluated 280 opportunities for ALF III. Within this quarter, we have continued to see deal flow activity weighted toward growth and mature-stage transactions, with an average opportunity size of $53 million, primarily across the United States, Western Europe, and Australia & New Zealand.

Investments into FinTech companies globally continues to show positive momentum with $8.5 billion in equity funding raised during Q4 2024, marking an 11% increase quarter-over-quarter. 68% of investments were concentrated in the United States and Western Europe. The period saw 350 funding rounds, with early-stage companies securing 57% of the total funding, while mid-stage companies captured 20%. Notably, there was a significant uptick in investments within Digital Lending, with a 2.5x increase in funding from Q3 2023 to Q4 2024, underscoring investor confidence in growth-stage opportunities and solidifying the future potential of this sector.

In Q4 2024, central banks in key developed markets continued to ease interest rates as inflationary pressures moderated. The Federal Reserve reduced its rate to 4.5%, signaling a shift toward a more accommodative stance. Inflation rates fell across major economies, including the U.S., UK, and EU, while labor markets showed signs of softening, particularly in the Eurozone and UK, with modest increases in unemployment rates. This suggests a cautious economic recovery moving into 2025.In the alternative lending market, consumer credit impairments improved, supported by stronger recovery rates and disciplined underwriting. Small business lending also showed signs of recovery, driven by improved economic conditions and lender adjustments to risk assessments.

For any inquiries, please reach: investors@violacredit.com

Sincerely,

Viola Credit Management Team

Q4 2024 DEAL FLOW SUMMARY

In Q4 2024, the investment team evaluated 85 asset-based lending (ABL) opportunities, totaling a transaction volume of $4.5 billion, driven by a robust pipeline from the U.S. market. Since the fund's inception, 280 opportunities have been reviewed, representing a potential transaction volume of $11.5 billion. This continues to highlight our selective process in evaluating new opportunities. The current pipeline consists of 43 companies, including 11 in advanced stages, with the majority expected to mature in the coming quarters.

Q4 '24	85 Opportunities Evaluated	$4.5B Transaction Volume
Since Inception 01.01.2024	280 Opportunities Evaluated	$11.5B Transaction volume
Portfolio	10 Active Platforms	10 Active Transactions

TEAM UPDATE

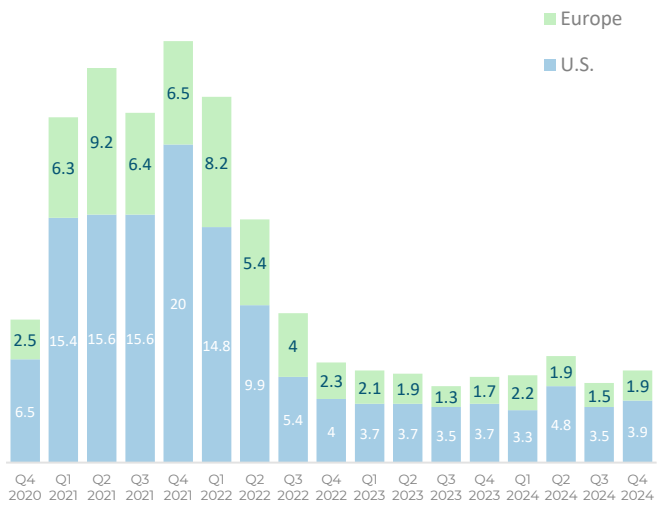
In Q4 2024, we expanded our legal department by welcoming an additional team member. Tal Tsarfaty Doron joined us as Legal Counsel in November 2024, working closely with our General Counsel, Omer Shani. In her role, Tal supports the Fund's legal operations across a broad range of areas, including fund formation, fundraising, investments, corporate governance, and compliance, among other legal matters.

Tal Tsarfaty Doron
Legal Counsel

Q4 2024 FINTECH MARKET OVERVIEW

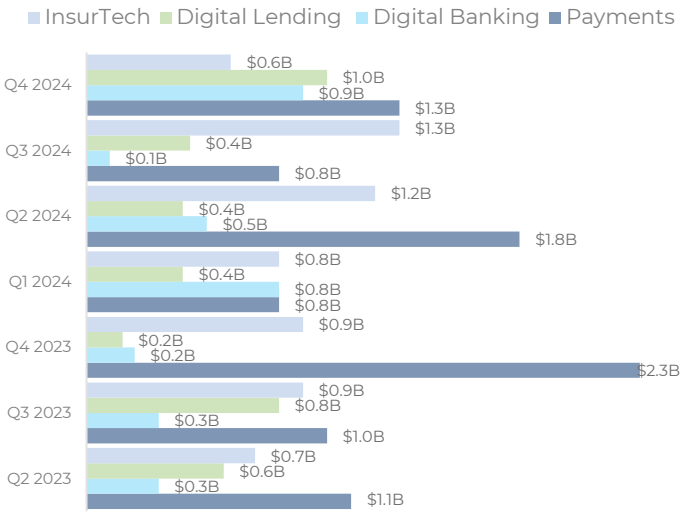
In the fourth quarter of 2024, the fintech sector experienced a notable resurgence. Global fintech funding rose by 11% quarter-over-quarter, reaching $8.5 billion, with 68% of the funding concentrated in the US and Europe. Fintech investments continue to show healthy, stable growth and consolidation.

FinTech Venture Investment by Geo ($B)



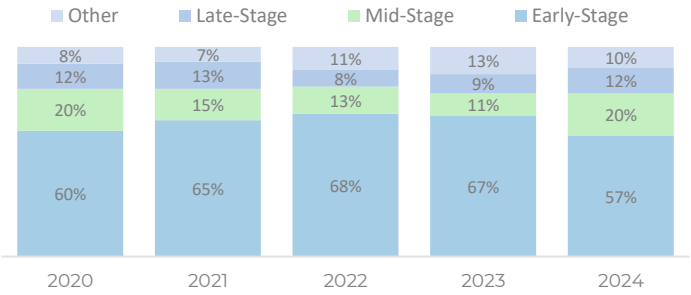
In Q4, the focus on Payments—particularly Digital Lending—intensified. Comparing investments in Digital Lending from Q3 2023 to Q4 2024, we see a remarkable surge from $0.4B to $1B, representing a 250% increase. This sharp growth underscores strong investor confidence in the sub-sector and reinforces our market outlook on its future potential.

Investments by Verticals in Europe and U.S.



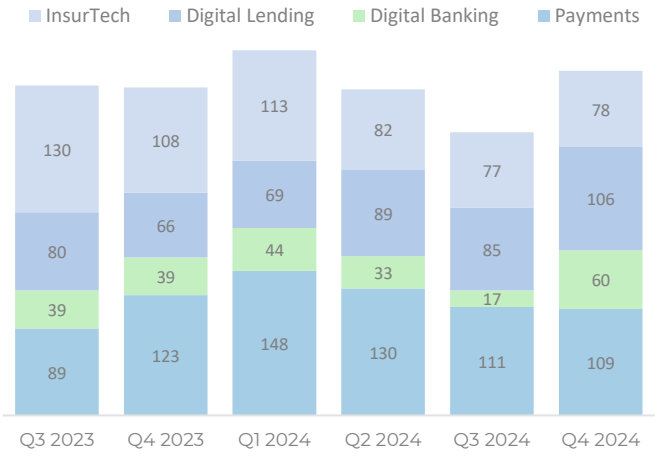
Digital lending funding trends continue to show early-stage dominance, consistently leading funding rounds. However, this share has declined from 68% in 2022 to 57% in 2024. Notably, there has been a shift in focus toward scaling ventures in Q4 2024, with mid-stage funding increasing to 20%, signaling greater confidence in growth-stage opportunities

Digital Lending Funding Rounds lending by Stage



In Q4 2024, we saw over 350 funding rounds recorded across fintech verticals globally, with Payments and Digital Lending maintaining strong growth. Digital Banking showed renewed investor interest compared to Q3, signaling a potential rebound in this sector.

Amount of Funding Rounds by Verticals

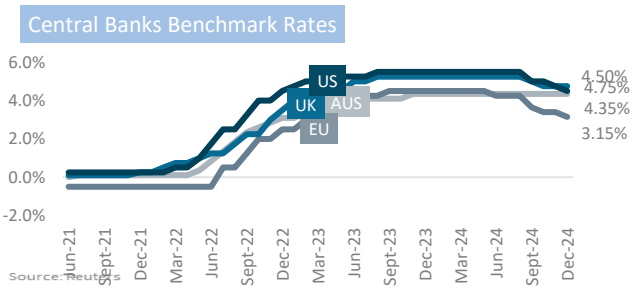


In the fourth quarter, the fintech sector demonstrated its ability to adapt to ongoing market changes, balancing a continued focus on mature and established segments while reigniting interest in areas that had previously been underfunded, such as digital banking. Despite the market challenges, both payments and digital lending maintained strong growth, underlining their resilience. Meanwhile, emerging technologies, particularly artificial intelligence (AI) and scalable solutions, remained critical priorities for many players in the space. This emphasis on innovation and strategic pivoting showcases the sector's ability to remain flexible and responsive. As economic conditions begin to stabilize, fintech companies are better positioned to leverage these shifts, ensuring they are poised for growth and success as we move into 2025

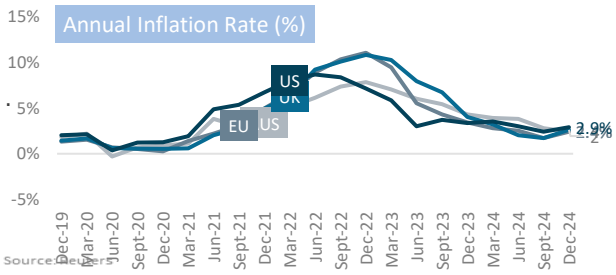
Sources: Viola Credit Data, CB Insight State of Fintech Q3 2024, FT Partners Q3 Report

ECONOMICAL ENVIRONMENT

Central banks broadly moved toward easing in Q4 2024 as growth softened and inflation pressures moderated. The Federal Reserve cut rates, signaling a shift toward a more accommodative stance heading into 2025. The Bank of England also lowered rates in response to sluggish economic activity and easing inflation expectations. The ECB followed suit, citing slowing demand and the need to support growth while remaining cautious about inflation risks. The RBA, however, held its cash rate steady, balancing persistent inflation concerns with signs of a cooling economy.

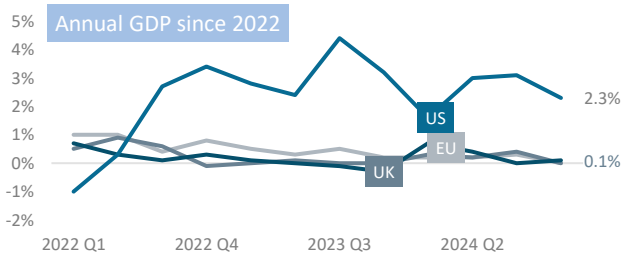


Inflation remained a challenge in most major economies, rising across the U.S., UK, and euro area. In the U.S., core inflation inched higher, reflecting persistent price pressures. The UK also saw an uptick, with inflation staying above target and expected to peak before moderating later in 2025. The euro area faced similar dynamics, with rising service-sector inflation prompting policymakers to maintain a cautious stance. Australia was the exception, seeing inflation fall to its lowest level in years as price pressures eased across key categories. While global inflation remains a concern, Australia's disinflation trend stands out, increasing expectations that the RBA may eventually shift toward rate cuts..

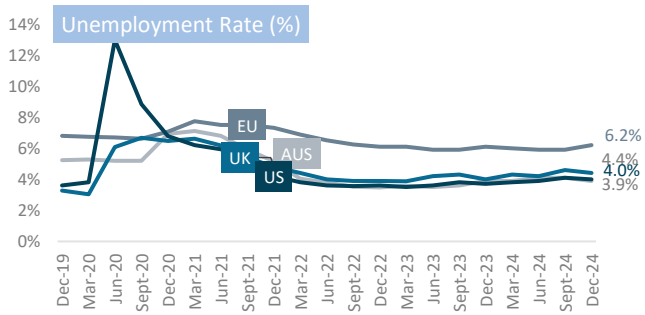


Economic expansion softened across major regions as tighter financial conditions and global uncertainties weighed on activity. The U.S. economy maintained steady but moderating growth, driven by resilient consumer and government spending, though investment activity weakened. The UK narrowly avoided a technical recession, with economic growth remaining weak but supported by a late-year recovery in services and construction .

The euro area stalled unexpectedly, marking its weakest quarterly performance of the year. Germany and France contracted, while Italy stagnated for a second quarter. However, Spain, Portugal, and Lithuania saw solid expansions, preventing an outright downturn..



Employment conditions remained stable but showed signs of softening across major economies. The U.S. labor market remained resilient, but hiring slowed, and wage growth moderated. In the UK, unemployment increased to 4.4% between September and November 2024, above market estimates. This marks the highest level since the three months ending in May, driven by a rise in short-term unemployment. Meanwhile, the Euro Area's unemployment rate inched up to 6.3% in December 2024, following a revised record low of 6.2% in November, aligning with market forecasts



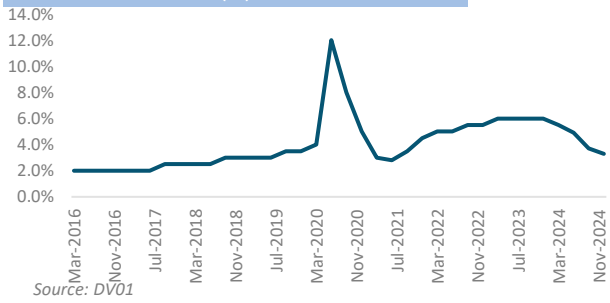
Looking ahead, developed markets are expected to see moderate growth as central banks adjust rates to balance inflation and employment. With labor markets now a key policy driver, central banks aim to support jobs while preventing inflation from resurging. Rate cuts will be measured to boost spending and growth without overheating the economy, ensuring stability and a sustained recovery.

Viola Credit specializes in structuring and executing privately negotiated, investment-grade-style asset-based lending (ABL) transactions backed by short-duration, self-amortizing financial assets. This approach has historically demonstrated resilience in economic downturns, providing stability and risk mitigation during market volatility..

ALTERNATIVE LENDING MARKET

In Q4 2024, consumer credit impairments continued to improve, driven by stronger cure rates and disciplined credit management. Tighter underwriting and controlled credit issuance over recent years have strengthened overall credit quality, contributing to the sector's resilience. While hurricane-affected regions added some pressure, overall performance remained ahead of seasonal trends, reflecting the sustained improvement in borrower repayment behavior and risk management practices.

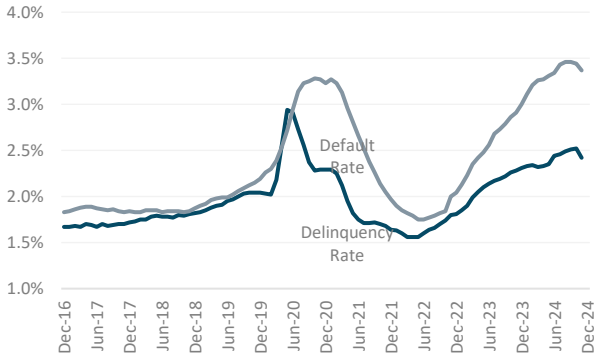
Alternative Consumer Credit Impairment Rate (%)



Source: DV01

After a prolonged upward trend, SMB delinquency rates showed signs of recovery, marking an improvement from its previous peak in Q3. This shift suggests that credit conditions may be stabilizing, supported by adjustments in risk management, lender caution, and selective credit issuance. However, the pace of recovery remains uncertain amid broader economic pressures..

Alternative SMB Credit Delinquency Rate in US



Source: PayNet SBDI

The decline in delinquency rates can be explained by a combination of factors. Tighter underwriting standards have ensured stronger borrower profiles, while easing inflation and stabilized interest rates have reduced financial strain. A strong labor market has supported income stability, helping consumers manage debt more effectively. Businesses have also benefited from improved cash flow and lower borrowing costs, reducing default risks.

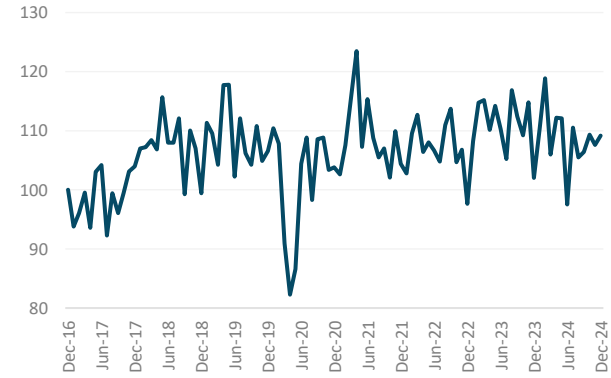
The overall trend in the Consumer Unsecured market in 2024 has been one of fluctuating but gradually improving originations. While early months saw volatility, since Q2, origination trends have stabilized, with most months outperforming seasonally adjusted comparisons. This improvement can be attributed to stronger consumer demand, lender adjustments to risk appetite, and easing macroeconomic pressures. However, December followed its typical seasonal decline, reflecting holiday-driven spending shifts and reduced lending activity.

Alternative Consumer Lending Volume (100=Feb-20)

Source: DV01

Small business lending has also experienced fluctuations throughout the year. Early in 2024, lending activity was strong, but it faced challenges due to economic uncertainties and tightening credit conditions. However, in the latter part of the year, there was a modest recovery in lending as economic conditions stabilized and lenders adjusted their risk assessments. This trend suggests cautious optimism for small business growth heading into 2025.

Alternative SMB Lending Volume (Dec-2016=100)



Source: PayNet SBLI

With shifting credit conditions, the market offers key opportunities for specialized lenders. Our fund leverages this by supporting top platforms with our expertise.

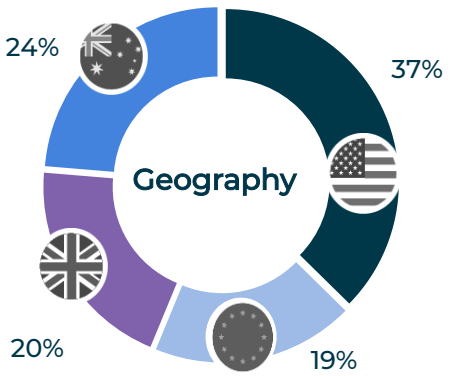
ACTIVE TRANSACTIONS

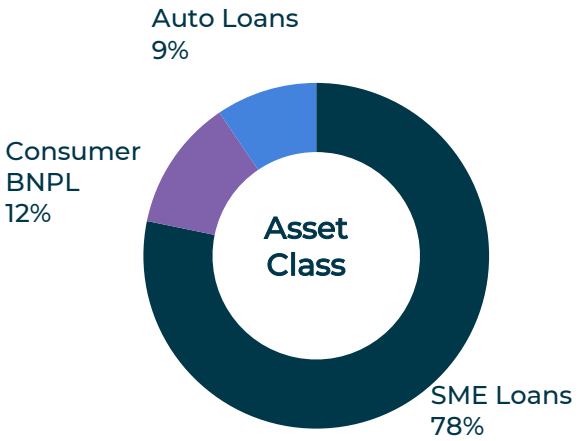
	Company	Type	Asset Class	Status	Amount*	Interest**	Warrants
1	Payzen	Senior	Healthcare Receivables	Active	$75M	S + 6.5%	Yes
2	Two	Senior	B2B Payments	Active	€30M	E + 7.7%	Yes
3	Lendbuzz	Forward Flow	Consumer Auto	Active	$200M	i-curve + 5.25%	No
4	Hokodo	Senior	B2B Payments	Active	€25M	E / SO + 7.75%	No
5	Funding Circle	Forward Flow	SME Loans	Active	£50M	SO + 5.75%	No
6	Viably	Senior	SME RBF	Active	$10M	S + 9.5%	Yes
7	Oatfi	Senior	B2B Payments	Active	$25M	S + 8.75%	Yes
8	Finmid	Senior	B2B Payments	Active	€30M	E + 8.5%	Yes
9	Prospa	Senior	SME Loans	Active	N$156M	B + 6.75%	No
10	Lendbuzz	Forward Flow	Secured Consumer Loan	Active	$14M[3]	14%[4]	No

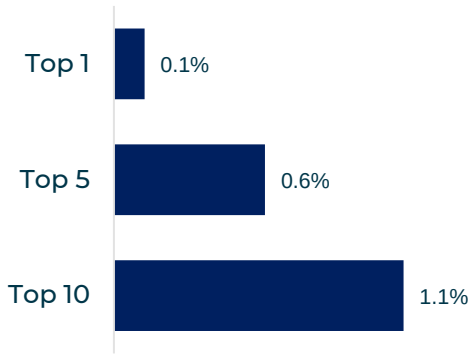
1. Transactions allocated among ALF III funds
2. SO=SONIA, S=SOFR, E=ESTR, B=BKBM
3. Represents Viola Credit ALF III commitment amount net of senior note (Note A). Total transaction flow is $56.6M
4. Reflects target transaction level yield to Viola Credit ALF III net of senior note (Note A).

COLLATERAL OVERVIEW (ASSET LEVEL)

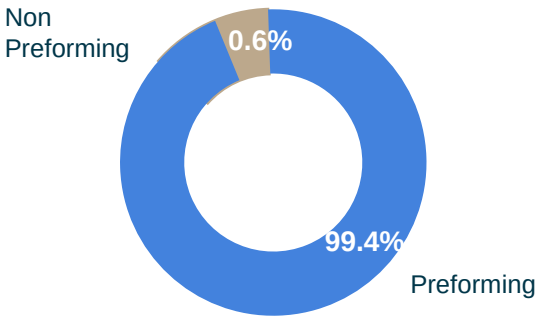
# of Transactions	10
# of Loans	175,918
Average Loan	$20.9K
Average Term	21.6 months
Average Interest	25.5%







CREDIT PERFORMANCE



NEW TRANSACTIONS

Lendbuzz is an AI-based FinTech lender, offering secured auto financing to thin-file borrowers—a lucrative underserved population ignored by the traditional U.S. credit system.

$56.6M Forward Flow transaction ($14M Viola Credit participation) to purchase a granular portfolio of secured auto loans originated by Lendbuzz

Transaction Details

Collateral/ Assets	Secured Consumer Auto Loans
Originator	Lendbuzz
Geography	United States
Transaction Type	Forward Flow
Committed Flow	$56.6M
Viola Credit Participation (B Note)	$14M
Viola Credit Target Yield	14%
Facility Term	18 months
Warrants	No

ACTIVE TRANSACTIONS

Oatfi is a US-based FinTech embedded lender that offers account receivables, and account payables financing solutions to SMEs through B2B platforms.

$25M senior secured ABL credit facility to finance B2B payments receivables across the US

Transaction Details

Collateral/ Assets	B2B BNPL Receivables
Geography	United States
Transaction Type	Senor Secured Warehouse Line
Amount	25M USD
Capacity Rights	Up to 100M EUR
Advance Rate	85.%
Interest Rate	SOFR + 8.75%
Facility Term	24 months
Warrants	Yes

Finmid is a Berlin-based embedded lender that enables B2B platforms in Europe to provide working capital financing solutions

€30M senior secured ABL credit facility to finance B2B BNPL and Capital receivables across Western Europe

Transaction Details

Collateral/ Assets	B2B BNPL Receivables
Geography	Germany
Transaction Type	Senor Secured Warehouse Line
Amount	30M EUR
Capacity Rights	Up to 150M EUR
Advance Rate	87.5%
Interest Rate	ESTR + 8.5%
Facility Term	24 months
Warrants	Yes

ACTIVE TRANSACTIONS

PayZen | **PayZen is a growth stage FinTech platform that allows healthcare institutions to provide interest free installment plans for unpaid medical bills**

$75M senior secured ABL credit facility to finance a granular portfolio of consumer healthcare installment plans in the U.S.

Transaction Details

Collateral/ Assets	Consumer Healthcare Installment Plans
Geography	United States
Transaction Type	Senor Secured Warehouse Line
Amount	75M USD
Capacity Rights	Up to 200M USD
Advance Rate	90-95%
Interest Rate	SOFR + 6.5%
Facility Term	36 months
Warrants	Yes

two. | **Two is a growth stage FinTech platform, offering B2B payments solutions across UK, Norway and Sweden**

€30M senior secured ABL credit facility to finance short duration B2B trade financing receivables across Western Europe

Transaction Details

Collateral/ Assets	B2B Factored Invoices
Geography	UK, Norway and Sweden
Transaction Type	Senor Secured Warehouse Line
Amount	30M EUR
Capacity Rights	Up to 250M EUR
Advance Rate	85%
Interest Rate	ESTR + 7.7%
Facility Term	36 months
Warrants	Yes

ACTIVE TRANSACTIONS

Viably is an early-stage end-to-end banking platform that provides business management tools and working capital solutions to e-commerce merchants

$10M senior secured ABL credit facility to fund e-commerce growth through revenue-based financing advances

Transaction Details

Collateral/ Assets	SME Loans
Geography	United States
Transaction Type	Senor Secured Warehouse Line
Amount	10M USD
Capacity Rights	Up to 100M USD
Advance Rate	85%
Interest Rate	SOFR + 9.50%
Facility Term	24 months
Warrants	Yes

Hokodo is a B2B BNPL provider that offers a full-stack payments and net terms financing solutions for business buyers

€25M senior secured ABL credit facility to finance B2B BNPL receivables across Western Europe

Transaction Details

Collateral/ Assets	B2B BNPL Receivables
Geography	Western Europe
Transaction Type	Senor Secured Warehouse Line
Amount	25M EUR
Capacity Rights	Up to 100M EUR
Advance Rate	92.5%
Interest Rate	ESTR/ SONIA + 7.75%
Facility Term	24 months
Warrants	No

ACTIVE TRANSACTIONS

Lendbuzz is an AI-based FinTech lender, offering secured auto financing to thin-file borrowers—a lucrative underserved population ignored by the traditional U.S. credit system.

$200M Forward Flow Program to finance secured auto loans to "thin-file" borrowers in the U.S

Transaction Details

Assets / Collateral	Secured Auto Loans
Geography	United States
Transaction Type	Forward Flow
Flow Amount	$200M
Transaction Type	Forward Flow
Currency	USD ("$")
Unlevered Net Yield	i-curve + 5.25%
Revolving Period	12 months
Warrants	No

Funding Circle (LON:FCH) is UK's leading SME lending platform and is publicly traded on the London Stock Exchange

£50M Forward Flow Program to finance SME Loans in the United Kingdom

Transaction Details

Assets / Collateral	SME Loans
Geography	U.K
Transaction Type	Forward Flow
Flow Amount	50M GBP
Type	Forward Flow
Currency	GBP ("£")
Unlevered Net Yield	SONIA + 5.75%
Revolving Period	12 months
Warrants	No

ACTIVE TRANSACTIONS

Prospa

Prospa is a mature FinTech platform that is the largest digital SME lender in Australia with a growing business in New Zealand

N$156M senior secured ABL credit facility to finance SME receivables in New Zealand

Transaction Details

Collateral/ Assets	SME Loans
Geography	New Zealand
Type	Senor Secured Warehouse Line
Amount	156M NZD
Advance Rate	90%
Interest Rate	BKBM + 6.75%
Facility Term	36 months
Warrants	No

CAPITAL CALLS

	Due date	Sum in $	Percentage	Accumulated sum in $	Accumulated percentage
1	April 2024	9,594,905	15.00%	9,594,905	15.00%
2	August 2024	8,164,189	Catch-up	17,759,094	15.00%
3	September 2024	11,839,396	10.00%	29,598,490	25.00%
4	October 2024	23,726,792	20%	53,277,283	45%
5	November 2024	9,390,057	Catch-up	62,667,340	45%

CAPITAL DISTRIBUTIONS (IN $)

	Date	Principal distribution	Capital gain distribution	Interest distribution	Tax distribution	Total
1	August 2024	-	-	140,301	-	140,301
2	November 2024	-	-	591,957	-	591,957

WARRANTS & EQUITY RIGHTS

As of December 31st, 2024

Warrants

COMPANY	# OF WARRANTS	EXERCISE PRICE ($ Per Unit)	FAIR MARKET VALUE ($ Per Unit)	ASSET VALUE ($)
Viably	1,852,946	0.43	0.31	576,432
Two	764	457.39	240.8	183,860
PayZen	42,343	2.05	2.4	100,830
Finmid	288	1,017.8	1,651.1	335,358
Oatfi	72,496	1.1	2.2	162,480

PORTFOLIO SUMMARY

As of December 31st, 2024

Borrower Name	Close Date	ALF III (B) Allocation Amount	ALF III (B) Drawn Amount (Utilized)
Hokodo	Mar-24 *	€ 14,000,000	€ 13,869,791
Viably	Oct-23 *	$ 8,000,000	$ 3,525,257
PayZen	Jun-24	$ 14,280,073	$11,157,414
Two	Nov-23 *	€ 9,600,000	€ 4,632,976
Finmid	Dec-23*	€ 16,800,000	€ 9,243,628
Lendbuzz 2024-2 Forward Flow	Mar-24	$ 16,000,000	$ 9,946,293
Funding Circle Forward Flow	Mar-24	£ 6,400,000	£ 3,025,000
Oatfi	Aug-24	$ 14,000,000	$ 8,960,000
Prospa NZ	Aug-24	NZ$ 42,560,000	NZ$ 36,148,718
Lendbuzz Trust 2024-A	Dec-24	$ 4,297,734	$ 4,297,734

* Transactions executed and warehoused prior to the first close of ALF III and allocated upon initial closing.

Viola Credit ALF III (B)

Combined Financial Statements
as of December 31, 2024

Combined Financial Statements as of December 31, 2024

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Auditors' Report to the Partners of Viola Credit ALF III (B)

We have audited the accompanying combined statement of Assets, Liabilities and Partners' Capital of Viola Credit ALF III (B), L.P. (hereinafter – "the Fund") including the schedule of investment as of December 31, 2024, and the related statement of operations, changes in partners' capital and statement of cash flows for the period from April 18, 2024 (date of commencement of operations) through December 31, 2024. The financial statements are the responsibility of the Partnership's General Partner. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with generally accepted auditing standards in Israel, including standards prescribed by the Auditors Regulations (Auditor's Code of Performance), 1973. Such standards require that we plan and perform the audit to obtain reasonable assurance that the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Fund as of December 31, 2024 and its results of operations, changes in partners' capital and cash flows for the period from April 18, 2024 (date of commencement of operations) through December 31, 2024, in conformity with generally accepted accounting principles in the United State of America.

Somekh Chaikin

Somekh Chaikin
Certified Public Accountants (Isr.)
Member Firm of KPMG International

April 10, 2025

Combined Statement of Assets, Liabilities and Partners' Capital

U.S dollars in thousands

	Note	December 31, 2024
Assets		
Portfolio investments at estimated fair value (Cost as of December 31, 2024 - $95,547)	4	91,553
Cash and cash equivalents		699
Account receivables		832
Finance Derivative		3,493
Related parties		5,916
Total assets		102,493
Liabilities and partners' capital		
Current liabilities		
Credit Line	7	37,155
Accounts payable		514
Total current liabilities		37,669
Long-term liabilities		
Deferred revenue		908
Total Long-term liabilities		908
Total liabilities		38,577
Partners' capital	6	
Capital contribution		62,667
Offering expenses		(192)
Interest distribution		(732)
Accumulated gain from operations		2,173
Total partners' capital		63,916
Total liabilities and partners' capital		102,493

April 10, 2025
Date of approval of the financial statements

Viola Credit ALF III GP, L.P.

The accompanying notes are an integral part of the combined financial statements.

Combined Schedule of Investments

U.S dollars in thousands

	December 31, 2024		
	Cost	Estimated fair value	% of partners capital
Viably Capital Inc.			
Utilized credit facility in the amount of $3,525	**3,525**	**3,525**	**5.5**
Warrant to purchase 1,852,946 Preferred A-2 Shares of Viably Capital Inc.	**607**	**576**	**0.9**
Two AS, LLC			
Utilized credit facility in the amount of €4,633	**5,010**	**4,823**	**7.5**
Warrant to purchase 764 Preferred A Shares of TWO AS, LLC	**214**	**184**	**0.3**
PayZen Inc.			
Utilized credit facility in the amount of $11,157	**11,157**	**11,157**	**17.5**
Warrant to purchase 42,343 Preferred A-2 Shares of PayZen Inc.	**66**	**101**	**0.2**
Hokodo Ltd.			
Utilized credit facility in the amount of £1,582	**2,015**	**1,984**	**3.10**
Utilized credit facility in the amount of €11,964	**12,983**	**12,454**	**19.5**
Oat Financial Inc.			
Utilized credit facility in the amount of $8,960	**8,960**	**8,960**	**14.0**
Warrant to purchase 72,496 Seed Preferred Shares of Oat Financial Inc.	**126**	**162**	**0.3**
Finmid GmbH			
Utilized credit facility in the amount of €9,244	**10,123**	**9,622**	**15.1**
Warrant to purchase 288 Seed Shares of Finmid	**353**	**335**	**0.5**
Prospa NZ Limited.			
Utilized credit facility in the amount of NZ$36,149	**22,266**	**20,349**	**31.8**
Lendbuzz Auto Receivables Trust SS-2024-A			
The Fund portion is 30%	**4,298**	**4,298**	**6.7**
Viola Credit (FC) 2024-I, L.P.			
The Fund portion is 40%	**3,898**	**3,533**	**5.5**
Viola Credit Trust 2024-II			
The Fund portion is 40%	**9,946**	**9,490**	**14.8**
Total	**95,547**	**91,553**	**143.2**
Total loans	**76,039**	**72,874**	**114.0**
Total warrants	**1,366**	**1,358**	**2.1**
Total investments through SPVs	**18,142**	**17,321**	**27.1**
Total	**95,547**	**91,553**	**143.2**

The accompanying notes are an integral part of the combined financial statements.

Combined Statement of Income

U.S dollars in thousands

	Note	Period from April 18, 2024 (*) through December 31, 2024
Revenues		
Portfolio financial income		**3,418**
Recognition of deferred revenue		**458**
		3,876
Expenses		
Management fees	**3c**	**271**
General, administrative and other expenses		**67**
Financial expenses		**864**
		1,202
Operating income		**2,674**
Change in unrealized loss from exchange rate differences		**(3,165)**
Change in unrealized loss from impairment of investments	**5**	**(829)**
Change in unrealized gain from derivative instruments		**3,493**
Net gain		**2,173**

(*) Date of Commencement of operations.

The accompanying notes are an integral part of the combined financial statements.

Combined Statement of Changes in Partners' Capital

U.S dollars in thousands

	General Partner	Limited Partners	Total
Capital Contributions			
Balance as of April 18, 2024 (*)	-	-	-
Capital contributions	-	62,667	62,667
Balance as of December 31, 2024	-	62,667	62,667
Interest distributions			
Balance as of April 18, 2024 (*)	-	-	-
Interest distributions	-	(732)	(732)
Balance as of December 31, 2024	-	(732)	(732)
Offering expenses			
Balance as of April 18, 2024 (*)	-	-	-
Offering expenses	-	(192)	(192)
Balance as of December 31, 2024	-	(192)	(192)
Accumulated gain from operations:			
Balance as of April 18, 2024 (*)	-	-	-
Operating income	273	2,401	2,674
Change in unrealized loss from exchange rate differences	(316)	(2,849)	(3,165)
Change in unrealized loss from impairment of investments	(83)	(746)	(829)
Change in unrealized gain from derivative instruments	350	3,143	3,493
Balance as of December 31, 2024	224	1,949	2,173
Total partners' capital as of December 31, 2024	224	63,692	63,916

(*) Date of Commencement of operations.

The accompanying notes are an integral part of the combined financial statements.

Combined Statement of Cash Flows

U.S dollars in thousands

	Period from April 18 (*), 2024 through December 31, 2024
Cash flows from operating activities:	
Net gain	**2,173**
Adjustments to reconcile net gain to net cash used in operating activities:	
Recognition of deferred revenue	**(458)**
Changes in accounts receivables mainly in respect of interest income	**(832)**
Credit facilities drawdowns	**(81,522)**
Repayment of credit facilities	**5,483**
Change in unrealized loss from exchange rate differences	**3,165**
Change in unrealized loss on investment	**829**
Change in unrealized gain from derivative instruments	**(3,493)**
Investments in SPVs (special purpose vehicles)	**(18,324)**
Distributions from SPVs	**182**
Changes in related parties	**(5,916)**
Changes in accounts payable	**514**
Net cash used in operating activities	**(98,199)**
Cash flows from financing activities:	
Capital contributions	**62,667**
Credit line utilized	**81,380**
Credit line repaid	**(44,225)**
Offering expenses	**(192)**
Interest distribution	**(732)**
Net cash provided by financing activities	**98,898**
Change in cash and cash equivalents	**699**
Cash and cash equivalents at the beginning of the period	**-**
Cash and cash equivalents at the end of the period	**699**
Non-cash information:	
Warrants received in respect of credit lines granted	**1,366**

(*) Date of Commencement of operations.

The accompanying notes are an integral part of the combined financial statements.

Note 1 -General

A. Viola Credit ALF III (B) (the "Fund") was formed by Viola Credit ALF III GP, L.P. (the "General Partner") on April 11, 2024 and commenced its operations on April 18, 2024. The Fund and additional entities managed by the General Partner or its affiliates are referred to herein as "Viola Credit". Certain transactions made by Viola Credit prior to the commencement of operations were allocated to the Fund.

B. The Fund is composed of the following limited partnerships (the "Feeders"), as specified below:

- Viola Credit ALF III (2), L.P.
- Viola Credit ALF III (3), L.P. (to be formed prior to the Final Closing, if necessary)
- Viola Credit ALF III (4), L.P.
- VCP Investments, L.P.

C. Investment Policy and Limitations:

The Fund is being organized to invest in opportunities in the specialty lending market, primarily by providing asset-backed, senior-secured debt facilities to finance assets originated by technology companies operating in the specialty finance market with the goal of generating significant current income and capital gains. These facilities are typically backed by cash yielding assets and/or real assets originated by such companies, including, but not limited to, consumer loans, auto-loans, small and medium enterprise loans, corporate trade receivables, lease contracts, real-estate and mortgages. Platforms are expected to mainly operate in developed markets, including North America, Western Europe, the United Kingdom, Australia, and New Zealand.

The Fund may also invest in, and purchase assets originated by origination platforms either directly or indirectly through structures formed by it or by other funding partners.

Such investments are referred to herein as "Portfolio Investments" and such technology companies are referred to collectively as "Originating Platforms".

Portfolio Investments will be primarily senior secured, but may also be subordinated in nature, including second lien, and mezzanine loans.

Such asset-based secured financings shall be provided in return for principal and interest payments and will also include, from time to time, return-enhancing features such as warrants to purchase an equity stake in Originating Platforms (or their affiliates) or limited investment rights to invest in the equity of the applicable Originating Platforms (or their affiliates) (such investments are referred to herein as "Equity Kickers").

The Fund will aim to receive Equity Kickers in selected Originating Platforms and may invest up to 10% of its aggregate capital commitments in Equity Kickers (by the exercise of warrants, and also by convertibles and/or through direct investment).

Note 1 -General (cont'd)

D. Duration of the Fund:

The term of the Fund is seven years from the Final Closing Date. The term of the Fund may be extended for two additional one-year periods, at the sole discretion of the General Partner and for a third one-year period at the sole discretion of the Advisory Committee, as defined in the LPA.

E. Definitions:

Partners -	The General Partner and the limited partners.
General Partner -	Viola Credit ALF III GP, L.P.
LPA -	Limited Partnership Agreement adopted as of the Initial Closing.
Management Partnership -	Viola Credit Partners Management, L.P.
VIOLA CREDIT (FC) 2024-I, L.P.	VIOLA CREDIT (FC) 2024-I, L.P., a special purpose vehicle formed for the sake of purchasing loan receivables from Funding Circle.
Viola Credit Trust 2024-II	Viola Credit Trust 2024-II was formed for the sake of purchasing loan receivables from Lendbuzz Inc. ("Lendbuzz") as seller and servicer.

Note 2 - Significant Accounting Policies

A. Basis of presentation

The financial statements have been prepared in accordance with accounting principles generally accepted in the United States and all amounts are stated in U.S. Dollars, because the currency of the primary economic environment in which the Fund conducts its operations is the U.S. Dollar ("the dollar" or "dollars"), and most of its financing is in dollars.

Transactions and balances originally denominated in dollars are presented at their original amounts. Transactions and balances in other currencies are re-measured into dollars in accordance with principles identical to those set forth in Statement ASC 830 of the Financial Accounting Standards Board of the United States ("FASB"). Exchange gains and losses arising from such re-measurement are reflected in financial income or expenses, as applicable.

Note 2 - Significant Accounting Policies (cont'd)

B. Portfolio valuation

Investments are carried at estimated fair value, with any resulting unrealized appreciation or depreciation included in the statements of operations.
Fair value is determined in accordance with ASC 820 "Fair Value Measurements and Disclosures" ("ASC 820") (see also Note 4K).

C. Cash equivalents

The Fund considers all highly liquid investments originally purchased with maturities of three months or less, to be cash equivalents.

D. Use of estimates

Financial statements prepared in conformity with accounting principles generally accepted in the United States require the General Partner to make estimates and assumptions that affect the amounts and disclosures reported in the financial statements and accompanying notes. Such estimates and assumptions could change in the future as more information becomes known, which could impact the amounts reported and disclosed herein.

E. Revenue recognition

(1) Revenues related to portfolio company equity kickers such as warrants and shares are recognized over the credit facility period.

(2) Revenues from interest are recognized when the interest accrues.

(3) Revenues from realization of investments are recognized when the rewards of ownership have passed to the buyer.

F. Assets backed lending facilities

The credit lines provided to the portfolio companies, measure in each period at its fair value.
The allowance for doubtful accounts is determined in respect of specific debts whose collection, in the opinion of the General Partner, is doubtful and at a certain rate of venture lending.

G. Derivative Instruments

The Fund enters into foreign currency forward and option contracts with financial institutions to protect against foreign exchange risks, mainly the exposure to changes in the exchange rate of the GBP,EUR,NZD against the U.S. dollar that are associated with forecasted future cash flows and certain existing assets and liabilities for up to three years. The Fund's primary objective in entering into these contracts is to reduce the volatility of earnings and cash flows associated with changes in foreign currency exchange rates. The Fund does not use derivative instruments for trading or speculative purposes.

Note 2 - Significant Accounting Policies (cont'd)

G. Derivative Instruments (cont'd)

The Fund recognizes its derivative instruments as current assets or liabilities in the Statement of assets, liabilities and partners' capital and carries them at fair value. Derivative instruments that hedge the exposure to variability in expected future cash flows are designated as cash flow hedges. In case the Fund discontinues cash flow hedges, it records the related amount in Realized gain (loss) on the Statements of Income. Derivative instruments that hedge the exposure to variability in the fair value of assets or liabilities are currently not designated as hedges for financial reporting purposes. The Fund records changes in the fair value of these derivatives in Unrealized gain (loss) in the Statements of Income. The cash flows from the derivative instruments are recorded in operating activities in the Statements of Cash Flows.

H. Market and risk factors

Foreign currency exposure - the Fund's portfolio of investments is comprised mainly of securities in foreign currency. Risks affecting these investments include changes in currency values. These risks factors could have a negative effect on the ultimate realizable value of the Fund's investments.
Credit risk - the Fund's portfolio of investments is comprised mainly of credit facilities, inter alia, credit facility to a securitization structure organized as SPV. Accordingly, the Fund is exposed to risk in changes in the fair value and credit risk due to potential default and change in cash flows of the commercial loan portfolio which secure the investments.

Note 3 - Limited Partnership Agreement

The information below highlights certain terms from the amended and restated limited partnership agreement of the Fund ("LPA") from April 11, 2024. The full and comprehensive terms of the Fund can be found in the LPA.

A. Allocations of income, net gain or loss:

All allocations of income, gain, loss, deduction and items thereof shall be made as follow:

1. Any remaining Net Gain or Net Loss of the Partnership for any fiscal period shall be allocated among the Partners in such proportions and in such amounts as may be necessary so that following such allocations, the Adjusted Capital Account balance of each Partner equals such Partner's then Target Balance as defined in the LPA.

2. If the amount of Net Gain or Net Losses allocable to the Partners for a period is insufficient to allow the Adjusted Capital Account balance of each Partner to equal such Partner's Target Balance, such Net Gain or Net Losses shall be allocated among the Partners in such a manner as to decrease the differences between the Partners' respective Adjusted Capital Account balances and their respective Target Balances in proportion to such differences.

3. The General Partner shall, to the greatest extent possible, allocate specific items of income, gain, loss or expense to the Partner or Partners intended to receive the benefit or bear the burden of such items under the LPA, as determined by the General Partner.

Note 3 - Limited Partnership Agreement (cont'd)

B. Distributions:

Distribution shall be allocated to all Partners, in proportion to their respective contributions, subject to the discretion of the General Partner, as follows:

1. First, 100% to each Limited partner until the cumulative amount distributed to such Limited Partner is equal to such Limited Partner's contributions;

2. Second, 100% shall be distributed to each Limited Partner until such Limited Partner shall have realized, solely in respect of its funded contributions, an internal rate of return of 7% per annum, compounded annually on such Limited Partner's unreturned contribution amount;

3. Third, 100% shall be distributed to the General Partner until the General Partner shall have received with respect to each Partner an amount equal to 15% of the sum of the (a) aggregate amount distributed to such Partner pursuant to section (2) above, and (b) the aggregate amount distributed to the General Partner pursuant to this section (3); and

4. Thereafter, 85% to Limited Partners and 15% to the General Partner.

C. Management Fees:

According to the LPA, the Fund shall pay the General Partner, or the Management Partnership, a management fee (the "Management Fee") for the investment advice to be provided to the Fund, commencing upon the Initial Closing Date, at a rate equal to 1.5% per annum of the Invested Capital. "Invested Capital" shall mean an amount equal to the aggregate Contributions less amounts distributed to the Partners (other than distributions of interest, profits or gains), and less the cost basis of investments which were written off.

Note 4 - Portfolio Investments

Investments signed prior to the Fund's commencement of operations were warehoused and allocated to the Fund upon first closing. Allocation of investments may change until the final closing due to a change of total LP commitments of the Fund and parallel funds.

A. **Viably Capital Inc. ("Viably")**

In October 2023, Viola Credit signed a finance agreement with Viably pursuant to which a revolving credit facility of $10,000 was made available to Viably (out of which, the Fund share is $8,000). Viola Credit was also granted future capacity rights of up to $50,000.

At the closing, Viably granted to the Fund a warrant to purchase 1,852,946 Preferred A-2 shares with exercise period of 9 years at an exercise amount of $791.

Note 4 - Portfolio Investments (cont'd)

B. Two AS, LLC ("Two")

In September 2023, Viola Credit signed a finance agreement with Two, pursuant to which a revolving credit facility of €30,000 was made available to Two (out of which, the Fund share is €9,600). Viola Credit was also granted future capacity rights of up to € 150,000.

At the closing Two granted to the Fund a warrant to purchase 764 Preferred A shares with exercise period of 5 years at an exercise amount of $349.

C. PayZen Inc. ("PayZen")

In June 2024, Viola Credit signed a finance agreement with PayZen pursuant to which a revolving credit facility of $75,000 was made available to PayZen (out of which, the Fund share is $14,280). Viola Credit was also granted future capacity rights of up to $ 200,000.

At the closing, PayZen granted to the Fund a warrant to purchase 42,343 Preferred A-2 shares with exercise period of 9 years at an exercise amount of $87.

D. Hokodo Ltd. ("Hokodo")

In March 2024, Viola Credit signed a finance agreement with Hokodo pursuant to which revolving credit facility of € 25,000 was made available to Hokodo (out of which, the Fund share is €14,000). was made available to the company. Viola Credit was also granted future capacity rights of up to € 100,000.

According to the agreement, Hokodo can draw amounts both in EUR and GBP.

E. Oat Financial Inc. ("OatFi")

In August 2024, Viola Credit signed a finance agreement with OatFi pursuant to which a revolving credit facility of $25,000 was made available to OatFi (out of which, the Fund share is $14,000). Viola Credit was also granted future capacity rights of up to $100,000.

At the closing, OatFi granted to the Fund a warrant to purchase 72,496 Seed Preferred Shares with exercise period of 9 years at an exercise amount of $79.

Note 4 - Portfolio Investments (cont'd)

F. Finmid GmbH ("Finmid")

In August 2024, Viola Credit signed a finance agreement with Finmid pursuant to which revolving credit facility of € 30,000 was made available to Finmid (out of which, the Fund share is €16,800). Viola Credit was also granted future capacity rights of up to € 50,000.

At the closing, Finmid granted to the Fund a warrant to purchase 288 Seed Shares with exercise period of 9 years at an exercise amount of $293.

G. Prospa NZ Limited. ("Prospa")

In August 2024, Viola Credit signed a finance agreement with Prospa pursuant to which revolving credit facility of NZ$ 156,000 was made available to Prospa (out of which, the Fund share is NZ$ 42,560).

H. Lendbuzz Auto Receivables Trust SS-2024-A ("Trust 2024-A")

In December 2024, the Fund with additional investors formed Lendbuzz Auto Receivables Trust SS-2024-A ("Trust 2024-A"). The Trust 2024-A was formed for the sake of purchasing $ 14.3 million of loan receivables from Lendbuzz Inc. ("Lendbuzz") as seller and servicer.

The Fund holds 30% of the Trust 2024-A transaction.

I. Viola Credit (FC) 2024-I, L.P. ("SPV (FC)")

SPV (FC) is a special purpose vehicle, formed pursuant to an agreement between the Fund and a group of investors, for the sake of purchasing up to £50 million of loan receivables from Funding Circle Ltd. ("Funding Circle") as seller and servicer.

In May 2024, the SPV (FC) signed an initial loan receivables purchase agreement with Funding Circle for a total amount of £50 million. The total transaction amount with Funding Circle is £200 million, including £150 million from Deutsche bank AG.

As of December 31, 2024, the Fund holds 40% of the SPV (FC) (£6,400).

As of December 31, 2024, the Fund transferred to SPV (FC) a capital contribution in the amount of £3,025 ($ 3,898). Therefore, the net invested amount is $ 3,898.

Note 4 - Portfolio Investments (cont'd)

J. Viola Credit Trust 2024-II ("Trust 2024-II")

In July 2024, the Fund with additional investors formed Viola Credit Trust 2024-II ("the Trust 2024-II"). The Trust 2024-II was formed for the sake of purchasing up to $ 200 million of loan receivables from Lendbuzz Inc. ("Lendbuzz") as seller and servicer.

The Trust 2024-II signed a finance agreement with JP Morgan bank securing a senior financing line of $140 million.

The Fund holds 40% of the Trust 2024-II.

K. Fair value measurements

The Fund adopted ASC Topic 820, which among other things, requires enhanced disclosures about investments that are measured and reported at fair value. ASC Topic 820 establishes a hierarchal disclosure framework which prioritizes and ranks the level of market price observability used in measuring investments at fair value. Market price observability is impacted by a number of factors, including the type of investment and the characteristics specific to the investment. Investments with readily available active quoted prices or for which fair value can be measured from actively quoted prices generally will have a higher degree of market price observability and a lesser degree of judgment used in measuring fair value.
Investments measured and reported at fair value are classified and disclosed in one of the following categories:

Level I – Quoted prices are available in active markets for identical investments as of the reporting date. The type of investments included in Level I include listed equities. As required by ASC Topic 820, the Fund does not adjust the quoted price for these investments, even in situations where the Fund holds a large position and a sale could reasonably impact the quoted price.

Level II – Pricing inputs are other than quoted prices in active markets, which are either directly or indirectly observable as of the reporting date, and fair value is determined through the use of models or other valuation methodologies. Investments which are generally included in this category include corporate bonds and loans, less liquid and restricted equity securities and certain over-the-counter derivatives.

Level III – Pricing inputs are unobservable for the investment and includes situations where there is little, if any, market activity for the investment. The inputs into the determination of fair value require significant management judgment or estimation. Investments that are included in this category generally include general and limited Fund interests in a corporate private equity.

Note 4 - Portfolio Investments (cont'd)

K. Fair value measurements (cont'd)

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, an investment's level within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement. The Fund's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment and considers factors specific to the investment.

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, an investment's level within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement. The Fund's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment and considers factors specific to the investment.

The following table summarizes the Fund`s portfolio investments that were accounted for at fair value by Level 3 within the fair value hierarchy of ASC 820:

	Level 3
	USD thousands
Fair value as of April 18, 2024 (*)	**-**
Warrants received in respect of credit lines granted	**1,366**
Credit facilities drawdowns	**81,522**
Repayment of credit facilities	**(5,483)**
Investments in SPVs	**18,324**
Distributions from SPVs	**(182)**
Change in unrealized gain from exchange rate differences	**(3,165)**
Change in unrealized gain on investment	**(829)**
Fair value as of December 31, 2024	**91,553**

As of December 31, 2024, the Fund's portfolio investments do not include any investments that can be accounted for at fair value by Level 1 or Level 2 within the fair value hierarchy of ASC 820.

(*) Date of Commencement of operations.

Note 4 - Portfolio Investments (cont'd)

L. Active Credit facility

Company	Credit facility	Utilized net amount	Interest rate
Viably	$ 8,000	$ 3,525	Annual interest rate equal to SOFR + 9.5% with minimum rate of 12%
Two	€ 9,600	€ 4,633	Annual interest rate equal to €STR + 7.7%
PayZen	$ 14,280	$ 11,157	Annual interest rate equal to SOFR + 6.5% with minimum rate of 9.5%
Hokodo	€ 14,000	£ 1,582	Annual interest rate equal to SONIA + 7.75% with minimum rate of 9.75%
Hokodo		€ 11,964	Annual interest rate equal to EURIBOR + 7.75% with minimum rate of 9.75%
OatFi	$ 14,000	$ 8,960	Annual interest rate equal to SOFR + 8.75% with minimum rate of 12%
Prospa	NZ$ 42,560	NZ$ 36,149	Annual interest rate equal to BKBM + 6.75% with minimum rate of 7%
Finmid	€ 16,800	€ 9,244	Annual interest rate equal to €STR + 8.5% with minimum rate of 11.5%

M. Indirect facilities through SPVs *):

Company	Credit facility	Utilized net amount
Funding Circle (through SPV (FC))	£6,400	£ 3,025
Lendbuzz (through Trust 2024-II)	$16,000	$ 9,946
Lendbuzz (through Trust 2024-A)	$4,298	$4,298

(*) Multiplied by the fund portion.

Note 4 - Portfolio Investments (cont'd)

N. Foreign currency exposure:

	GBP	EUR	NZD
Foreign exchange rate 31/12/2024	1.254	1.041	0.563

Currencies exposure:

	USD	GBP	EUR	NZD
Portfolio investments	37,616	4,592	25,841	36,437

Note 5 - Unrealized Loss from Investments

	Period from April 14 (*), 2024 through December 31, 2024
Viably	(31)
Two	(30)
PayZen	35
OatFi	36
Finmid	(18)
SPV (FC)	(365)
Trust 2024-II	(456)
	(829)

Note 6 - Partners' Capital

As of December 31, 2024 the net capital contribution to the Fund is $62,667, representing net utilization of 45%.

Note 7 - Credit Line Received

In May 2024, the Fund signed a credit agreement with Valley Bank (the "**Subscription Line**") according to which $35,000 were made available to the Fund. Outstanding amounts under the Valley Credit Line shall bear an interest rate equal to Prime rate minus 0.5% and no less than 5.5%.
The Fund intends to use this line of credit to bridge capital calls from investors and to provide collateral to Valley Bank against negative fair value of financial derivatives (if any).

In September 2024, the Fund signed an amendment to the Subscription Line, in which the facility amount was increased to $50,000.

As of December 31, 2024 the Fund utilized an amount of $37,155 from the Subscription Line.

VIOLA CREDIT

We are committed to

SUPPORTING THE INNOVATION ECONOMY

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